MGT 202: SMALL BUSINESS MANAGEMENT

CHAPTER 2 - STUDENT NOTES

INTEGRITY, ETHICS AND SOCIAL ENTREPRENEURSHIP

Foundations for Success in Small Business

CHAPTER LEARNING OUTCOMES

After studying this chapter, you should be able to:

1. **Define integrity** and explain its importance to small businesses.
2. **Explain how integrity applies to major stakeholder groups.**
3. **Identify the challenges and benefits of acting with integrity** in small businesses.
4. **Suggest practical approaches for building a business with integrity.**
5. **Define social entrepreneurship** and explain the relationship between small business, sustainability and the natural environment.

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1. INTRODUCTION: WHY INTEGRITY AND ETHICS MATTER

When we think about business success, we often think about:

- Profit
- Sales
- Growth
- Customers
- Market share
- Innovation

These are all important. However, **how a business achieves its success is equally important**.

Every entrepreneur and business manager makes decisions that affect other people. These decisions may affect:

- Customers
- Employees
- Owners
- Suppliers
- Government
- Communities
- The natural environment

For this reason, business decisions are not purely financial decisions. They may also involve questions of:

- Right and wrong
- Fairness
- Honesty
- Responsibility
- Trust

The Class 2 presentation emphasises that the decisions entrepreneurs make eventually shape the **trust, reputation and legacy** of the businesses they build.

Example

Imagine that a small business receives a large order from an important customer. The customer asks the business owner to provide false information on an invoice.

The entrepreneur now faces two issues:

1. **The financial opportunity** – the business may earn significant income.
2. **The ethical issue** – the requested action may involve dishonesty.

The important question is therefore not simply:

Will this decision make money?

The entrepreneur must also ask:

Is this decision honest, fair and responsible?

2. WHAT IS INTEGRITY?

2.1 Definition of Integrity

Integrity refers to a general sense of **honesty and reliability**, expressed through a strong commitment to doing what is right regardless of the circumstances.

Integrity means that a person's:

- Values
- Beliefs
- Words
- Decisions
- Actions

are reasonably consistent with one another.

A person with integrity does not only claim to value honesty. Their actions should demonstrate honesty.

The central idea is:

Doing the right thing, even when it is difficult, inconvenient or costly.

The chapter presents integrity as a strong commitment to honesty and reliability rather than simply behaving appropriately when someone is watching.

2.2 Key Characteristics of Integrity

Integrity includes several important characteristics.

Honesty

Being truthful in dealings with others.

Examples include:

- Providing accurate information to customers.
- Maintaining correct financial records.
- Being truthful when reporting business income.
- Admitting mistakes.

Reliability

Doing what you say you will do.

For example, if a business promises to deliver products by Friday, the business should make every reasonable effort to fulfil that commitment.

Consistency

Applying the same standards even when circumstances change.

For example, a business owner should not claim to value honesty only when honesty is convenient.

Responsibility

Accepting responsibility for decisions and actions.

An entrepreneur with integrity does not automatically blame:

- Employees
- Customers
- Suppliers
- Competitors
- Government

for every problem.

Commitment to Doing What Is Right

Integrity becomes particularly important when the right decision involves sacrifice.

3. INTEGRITY IS TESTED UNDER PRESSURE

It is relatively easy to behave ethically when:

- Everyone is watching.
- There is little personal benefit from misconduct.
- There is no pressure.
- The correct decision is obvious.

The real test often occurs when:

- Nobody is supervising you.
- You have an opportunity to benefit personally.
- The business is under financial pressure.
- Other people appear to be acting dishonestly.
- You believe you will not be caught.

The Class 2 PowerPoint illustrates this through simple ethical situations such as receiving P200 in excess change and deciding whether to return it. Such situations demonstrate that integrity is often revealed by choices made when there is an opportunity to act dishonestly.

Think about it

If you knew with certainty that nobody would ever discover your decision, would you still make the same choice?

This question helps distinguish between:

Avoiding wrongdoing because of fear of punishment

and

Doing what is right because of personal values and integrity.

4. ETHICS AND ETHICAL ISSUES

4.1 What Are Ethics?

Ethics refers to questions about:

- Right and wrong
- Fair and unfair behaviour
- Responsible and irresponsible actions

In a business environment, ethics helps individuals and organisations evaluate whether a particular action is appropriate.

Ethical questions may include:

- Is this action honest?
- Is it fair?
- Who will benefit?
- Who may be harmed?
- Does this action respect the rights of others?

The chapter identifies ethical issues as questions of right and wrong and discusses workplace misconduct in areas involving customers and competitors, the treatment of employees, and employees' obligations to their employers.

4.2 Integrity and Ethics: What Is the Difference?

Although the two concepts are closely related, they are not exactly the same.

Ethics

Ethics provides principles and standards for determining what is right or wrong.

Integrity

Integrity refers to consistently applying those principles in one's behaviour.

For example:

A business owner may know that falsifying financial information is wrong.

However, the owner may face financial pressure and decide to falsify the records.

The individual understands the ethical principle but fails to act with integrity.

Therefore:

Ethics helps us understand what we should do. Integrity is demonstrated when we consistently act according to those principles.

5. ETHICAL DECISIONS ARE NOT ALWAYS EASY

Many ethical decisions do not involve an obvious choice between good and bad.

Instead, they may involve a conflict between two or more important interests.

Example: The Small Factory

A factory is experiencing severe financial difficulties.

If the business closes:

- All 20 employees may lose their jobs.

Management considers retrenching five employees to reduce costs and save the remaining 15 jobs.

Questions include:

- Is retrenching five employees justified if it saves 15 jobs?
- Have all alternatives been considered?
- Who will suffer?
- What are the long-term consequences?

The Class 2 presentation uses this type of dilemma to demonstrate that ethical decisions often involve competing interests and difficult trade-offs.

6. TWO APPROACHES TO ETHICAL REASONING

When analysing an ethical problem, students should consider at least two important perspectives.

6.1 Outcomes and Consequences

This approach asks:

Which decision is likely to produce the greatest overall benefit or the least harm?

The entrepreneur considers the consequences of each alternative.

Questions include:

- Who benefits?
- Who is harmed?
- How serious is the harm?
- What are the short-term consequences?
- What are the long-term consequences?

6.2 Principles and Rights

This approach asks:

Are there certain actions that should not be taken because they violate important principles or rights?

Important principles include:

- Honesty
- Fairness
- Consent
- Respect
- Privacy

Example: Customer Information

A struggling business discovers that it can sell its customer information and earn enough money to save jobs.

However, customers never gave permission for their information to be sold.

From an outcomes perspective, the entrepreneur may argue that:

"The income will save the business and protect employees."

However, from a principles and rights perspective, selling the information may violate:

- Privacy
- Consent
- Customer trust

Strong ethical analysis therefore considers **both consequences and principles**.

7. WHY DO PEOPLE SOMETIMES MAKE UNETHICAL DECISIONS?

Unethical behaviour is not always the result of a person deliberately deciding to become dishonest.

Several factors may influence unethical behaviour.

7.1 Pressure

Individuals may experience pressure to:

- Meet sales targets.
- Increase profits.
- Pay debts.
- Keep their jobs.
- Keep the business alive.

7.2 Opportunity

Unethical behaviour becomes easier when:

- Internal controls are weak.
- Nobody checks the records.
- There is little supervision.
- Accountability is poor.

7.3 Justification

People may convince themselves that unethical behaviour is acceptable.

Common justifications include:

- "Everyone does it."
- "It is only this once."
- "The business needs to survive."
- "I deserve it."
- "Nobody will be harmed."

7.4 Incentives

Poorly designed reward systems can unintentionally encourage unethical behaviour.

For example, the presentation considers a situation where an employee faces the loss of commission if a very high sales target is not achieved. The employee then records sales that have not yet been confirmed. The example demonstrates the possible relationship between **pressure, opportunity, justification and unethical action**.

Important Lesson

Business owners should not only ask:

Did the employee achieve the target?

They should also ask:

How was the target achieved?

8. INTEGRITY IN EVERYDAY SMALL-BUSINESS DECISIONS

Integrity is demonstrated through everyday decisions.

These include:

- Maintaining accurate financial records.
- Providing honest product descriptions.
- Advertising truthfully.
- Treating employees fairly.
- Paying suppliers according to agreements.
- Keeping promises to customers.
- Handling mistakes openly.
- Applying standards consistently under pressure.

Example: The Cash Sale

Suppose a small business receives **P10,000 in cash**.

The owner records only P6,000 and keeps P4,000 outside the official records.

The immediate benefit may appear attractive.

However, possible consequences include:

- Inaccurate financial information.
- Poor management decisions.
- Weak internal controls.

- Loss of trust.
- Compliance problems.

One unethical decision can also create a chain reaction. Once inaccurate information enters the business system, future decisions may be based on incorrect information.

9. INTEGRITY AND MAJOR STAKEHOLDERS

9.1 What Is a Stakeholder?

A stakeholder is a person or group that:

- **Can affect the performance of the business**, or
- **Is affected by the performance and decisions of the business.**

Major stakeholders include:

- Owners
- Customers
- Employees
- Suppliers
- Government
- Communities

The chapter identifies owners, customers and employees as particularly important or primary stakeholders because they interact directly with the business.

10. THE BIG THREE STAKEHOLDERS

10.1 Owners

Owners invest:

- Money
- Time
- Resources
- Knowledge

They have a legitimate interest in:

- Profitability
- Growth
- Financial security
- Business survival

Business owners therefore have an obligation to make responsible decisions that protect the financial investment in the business.

However, the pursuit of profit should be carried out honestly.

10.2 Customers

Customers are essential to business survival.

Without customers:

- There are no sales.
- There is no revenue.
- The business cannot survive.

Businesses demonstrate integrity toward customers by:

- Providing accurate information.
- Delivering promised quality.
- Avoiding misleading advertising.
- Treating complaints seriously.
- Respecting customer privacy.

The chapter emphasises that entrepreneurs who genuinely care about customers as individuals are more likely to build and maintain customer relationships.

10.3 Employees

Integrity is also demonstrated through the way employees are treated.

Employees expect:

- Fairness
- Honesty
- Impartiality
- Respect
- Appropriate working conditions

However, fairness works in both directions.

Employees also have obligations to employers, including:

- Honesty
- Responsible use of business resources
- Protecting confidential information
- Avoiding theft and fraud
- Performing their duties responsibly

An ethical workplace therefore requires responsibility from both management and employees.

11. OTHER IMPORTANT STAKEHOLDERS

Suppliers

Suppliers expect:

- Honest communication.
- Fair dealing.
- Reliable payment.
- Respect for agreements.

A business should recognise that its suppliers may themselves be small businesses.

Delaying payment without communication may simply transfer financial pressure from one business to another.

Government

Entrepreneurs must comply with applicable:

- Laws
- Regulations
- Tax requirements
- Reporting requirements

The chapter specifically identifies unethical financial behaviour such as:

- Fraudulent reporting.
- Skimming.
- Tax evasion.
- Casual or weak accounting practices.

Skimming refers to under-reporting income in order to reduce tax obligations. Entrepreneurs may attempt to rationalise such behaviour by arguing that taxes are too high or that other businesses do the same. However, rationalisation does not make the behaviour ethical.

Communities

Businesses have ethical obligations to the communities in which they operate.

Small businesses contribute to communities by:

- Creating employment.
- Providing products and services.
- Generating economic activity.
- Contributing to tax revenues.
- Supporting local development.

Social responsibility begins with the business recognising that its activities can affect people beyond its immediate customers and owners.

12. STAKEHOLDER INTERESTS CAN CONFLICT

Different stakeholders do not always want the same thing.

For example:

Decision	Stakeholder Benefit	Possible Trade-off
Lower prices	Customers benefit	Profit margins may fall
Higher wages	Employees benefit	Business costs increase
Rapid expansion	Owners and employees may benefit	Quality and systems may suffer
Delaying supplier payment	Buying business gains temporary relief	Supplier may experience financial problems

The task of the entrepreneur is not necessarily to make every stakeholder completely happy.

Instead, the entrepreneur must:

1. Recognise competing interests.
2. Understand the consequences.
3. Consider fairness.
4. Make responsible trade-offs.

13. FOUR RESPONSIBILITIES OF SMALL BUSINESS

The chapter identifies four types of responsibility.

13.1 Economic Responsibility

The business must be financially viable.

It must generate enough value to:

- Cover costs.
- Pay employees.
- Invest.
- Continue operating.

A business cannot survive indefinitely without financial sustainability.

13.2 Legal Responsibility

The business must obey applicable laws and regulations.

Legal responsibility establishes a minimum standard of conduct.

13.3 Ethical Responsibility

The business should avoid:

- Dishonesty.
- Unfair practices.
- Harmful behaviour.
- Questionable conduct.

An action may be legal but still raise ethical concerns.

Therefore, entrepreneurs should ask not only:

Is this legal?

but also:

Is this right?

13.4 Discretionary or Social Responsibility

A business may voluntarily contribute to society.

Examples include:

- Supporting community projects.
- Providing training.
- Supporting charitable causes.
- Creating opportunities for disadvantaged groups.

However:

Doing good in one area does not excuse unethical behaviour in another area.

These four responsibilities are central to the chapter's stakeholder and social responsibility framework.

14. CHALLENGES OF ACTING WITH INTEGRITY

Small businesses may face particular ethical challenges.

These challenges may become especially important when a business is:

- Starting.
- Trying to establish a reputation.

- Moving into online business.
- Expanding into international markets.

15. THE LEGITIMACY LIE

A **legitimacy lie** occurs when a small business creates a false impression to make itself appear more established, successful or capable than it actually is.

For example, a startup might:

- Exaggerate its experience.
- Pretend to have more customers than it actually has.
- Misrepresent its resources.
- Make promises it cannot fulfil.

The temptation often comes from the desire to gain:

- Customer confidence.
- Investor confidence.
- Supplier confidence.
- Business partnerships.

However, trust built on false information is fragile.

The chapter suggests that entrepreneurs can build confidence legitimately through the **PRO factors**:

P - Product

Demonstrate that the product or service can meet customer needs.

R - Representatives

Ensure that the people representing the business understand the product and can communicate competently.

O - Organisation

Demonstrate that the organisation will stand behind its product or service.

16. INTEGRITY IN THE DIGITAL MARKETPLACE

Online business creates additional ethical challenges.

Businesses should consider:

- How customer information is collected.
- How customer information is used.

- Whether online reviews are genuine.
- Whether product descriptions are accurate.
- Whether promotional images are misleading.
- Whether another person's intellectual property is being used fairly.

Key Issue: Privacy

Customers may provide personal information when purchasing goods or services online.

A responsible business should not simply collect information because it can.

It should consider:

- Why the information is required.
- How it will be used.
- Who will have access to it.
- How it will be protected.

The chapter identifies personal privacy and intellectual property as important ethical concerns for businesses operating online.

17. INTEGRITY WHEN DOING BUSINESS ACROSS BORDERS

Businesses operating internationally may encounter different cultural practices and expectations.

The chapter discusses two approaches.

Ethical Imperialism

The belief that the ethical standards of one's own country can be applied universally.

Ethical Relativism

The belief that ethical standards may be subject to local interpretation.

These concepts raise important questions for entrepreneurs:

- Should a business accept a practice simply because it is common in another environment?
- Should the business maintain the same ethical standards everywhere?

The chapter emphasises the importance of ensuring that employees understand the firm's commitment to integrity, particularly because one-time unethical practices may establish patterns for future behaviour.

18. THE BENEFITS OF ACTING WITH INTEGRITY: THE INTEGRITY EDGE

Integrity is valuable for moral reasons. However, ethical behaviour may also create important business advantages.

The chapter identifies benefits such as:

- Improved financial performance.
- Enhanced brand image and reputation.
- Increased sales and customer loyalty.
- Improved productivity and quality.
- Better recruitment.
- Reduced employee turnover.
- Fewer regulatory difficulties.
- Improved access to capital.

The Class 2 presentation describes this relationship as:

Integrity
↓
Trust
↓
Stronger relationships
↓
Loyalty
↓
Reputation
↓
Long-term sustainability

19. REPUTATION AS A BUSINESS ASSET

Reputation is particularly important for small businesses.

In relatively close business and social networks, customer experiences may spread through:

- Word of mouth.
- Family.
- Friends.
- Colleagues.
- WhatsApp.
- Social media.

A positive reputation may attract customers.

A negative reputation may result in:

- Lost customers.
- Reduced trust.
- Difficulty attracting employees.
- Difficulty forming partnerships.

The Class 2 presentation emphasises that trust can take years to build but may be seriously damaged by a major ethical failure.

20. BUILDING A BUSINESS WITH INTEGRITY

Integrity should not depend only on the personality of the owner.

A business should develop:

- Clear values.
- Appropriate leadership.
- Ethical standards.
- Organisational culture.
- Decision-making processes.

The chapter explains that business leaders at the top must provide the leadership, culture and instruction necessary to support ethical behaviour.

21. UNDERLYING VALUES

Underlying values provide a foundation for ethical behaviour.

These values may include:

- Honesty
- Respect
- Truthfulness
- Fairness
- Responsibility

A business can write values on its website or display them on its walls.

However:

Values are meaningful only when they influence behaviour.

This is why the principle that **actions speak louder than words** is important in ethical management.

22. LEADING WITH INTEGRITY

The personal integrity of the founder or owner has an important influence on the ethical performance of a small business.

Employees observe:

- What leaders do.
- What leaders reward.
- What leaders tolerate.
- What leaders ignore.

For example, if an owner manipulates records but tells employees to be honest, employees receive conflicting messages.

Ethical leadership requires consistency between:

What leaders say and what leaders do.

23. BUILDING AN ETHICAL ORGANISATIONAL CULTURE

An ethical organisational culture is one in which doing what is right becomes part of normal business behaviour.

The chapter identifies five principles that can support ethical management.

1. Purpose

The organisation's vision and core values should guide behaviour.

Employees should understand:

- What the business stands for.
- What it is trying to achieve.
- Which values guide decisions.

2. Pride

Employees who take pride in their work and organisation may be more likely to act responsibly.

3. Patience

Excessive pressure for immediate results may encourage unethical shortcuts.

4. Persistence

The business should stand by its commitments.

Persistence supports trust.

5. Perspective

Business owners should periodically reflect on:

- Where the business is going.
- Why it is going there.
- Whether its actions remain consistent with its values.

24. THE CODE OF ETHICS

A **code of ethics** consists of official standards that guide employee behaviour.

A small business code of ethics may address:

- Honesty.
- Conflicts of interest.
- Treatment of customers.
- Confidential information.
- Use of company resources.
- Fraud and theft.
- Relationships with suppliers.
- Reporting unethical behaviour.

A code of ethics should not simply exist as a document.

Employees should:

1. Understand it.
2. Receive guidance about it.
3. See leaders following it.
4. Understand the consequences of violations.

25. PRACTICAL ACTIONS FOR BUILDING INTEGRITY

Small businesses can strengthen integrity by:

1. Setting clear expectations

Employees should understand what behaviour is acceptable.

2. Leading by example

Owners and managers must demonstrate the behaviour they expect.

3. Creating an environment where concerns can be raised

Employees should feel able to report mistakes and ethical concerns.

4. Applying standards consistently

Rules should apply fairly across the organisation.

5. Examining incentives

Management should ask whether reward systems encourage people to take unethical shortcuts.

6. Learning from mistakes

Businesses should identify what went wrong and improve systems and controls.

These practical actions form part of the Class 2 framework for building an ethical small business.

26. THE SIX-STEP ETHICAL DECISION-MAKING PROCESS

Ethical decisions can be complex. A structured process helps entrepreneurs analyse problems more carefully.

STEP 1: Define The Problem

Ask:

- What exactly is happening?
- Why is this an ethical issue?
- What facts do we know?

Separate assumptions from facts.

STEP 2: Identify Alternative Solutions

Do not assume there are only two choices.

Consider several possible solutions.

STEP 3: Evaluate The Alternatives

Consider:

- Consequences.
- Stakeholders.
- Fairness.
- Rights.
- Honesty.

The chapter also presents useful questions:

- Is it the truth?

- Is it fair to everyone concerned?
- Will it build goodwill?
- Will it be beneficial to those affected?

The **Golden Rule** can also be applied:

Treat others as you would want to be treated.

STEP 4: Make The Decision

Select the alternative that is most responsible after considering:

- Facts.
- Alternatives.
- Consequences.
- Stakeholders.
- Principles.

STEP 5: Implement The Decision

A good decision must be translated into action.

The entrepreneur must consider:

- Who will implement it?
- What communication is required?
- How will affected stakeholders be treated?

STEP 6: Evaluate The Decision

After implementation, ask:

- What happened?
- Were the expected outcomes achieved?
- Were stakeholders negatively affected?
- What can be learned?

The six-step process is designed to help entrepreneurs see ethical issues more clearly and make better decisions.

27. A QUICK ETHICAL TEST

Before making an important decision, ask:

1. **Is it truthful?**
2. **Is it fair to the people affected?**
3. **Would I be comfortable explaining this decision publicly?**
4. **Will it strengthen or damage important relationships?**
5. **Have I considered alternatives that could reduce harm?**

28. SOCIAL ENTREPRENEURSHIP

Social entrepreneurship involves using entrepreneurial activity to address important social problems and opportunities.

A social entrepreneur identifies a problem and develops an innovative and sustainable solution.

The chapter defines a social entrepreneur as someone who develops innovative solutions to society's important needs, problems and opportunities and then makes those solutions happen.

Social entrepreneurship involves two important dimensions:

1. Creating positive social or environmental value.

2. Building a viable and sustainable business model.

A social enterprise cannot depend indefinitely on good intentions alone.

It must consider:

- Customers.
- Revenue.
- Costs.
- Resources.
- Sustainability.

29. THE TRIPLE BOTTOM LINE

Responsible entrepreneurship considers:

PEOPLE

How does the business affect:

- Employees?
- Customers?
- Communities?

PROFIT

Is the business financially viable?

Can it generate sufficient income to survive and grow?

PLANET

What environmental effects result from the business?

Consider:

- Waste.
- Energy.
- Water.
- Packaging.
- Pollution.
- Disposal of materials.

The Triple Bottom Line therefore encourages entrepreneurs to consider:

People + Profit + Planet

30. SMALL BUSINESS AND THE NATURAL ENVIRONMENT

Sustainability involves efforts to protect and preserve the environment.

Environmental responsibility may create additional costs for some small businesses.

For example, businesses may need to spend money on:

- Waste management.
- Recycling.
- Cleaner production methods.
- Energy-efficient equipment.
- Environmentally responsible packaging.

However, environmental concerns can also create **business opportunities**.

The chapter notes that environmental responsibility may add costs for some businesses while opening opportunities for others, including the creation of entirely new startups.

31. GREEN BUSINESS OPPORTUNITIES

Environmental challenges can become entrepreneurial opportunities.

Examples may include businesses that focus on:

- Recycling.
- Waste collection.
- Reusable products.
- Water conservation.
- Energy efficiency.
- Solar and renewable energy.
- Sustainable agriculture.
- Reducing food waste.

The entrepreneurial question is:

What environmental or social problem exists, and can a viable business solution be created?

32. APPLYING THE CONCEPTS: KGOSI'S CATERING BUSINESS

The Class 2 PowerPoint presents the following ethical dilemma.

Kgosi's Catering has an opportunity to secure an important corporate contract.

The customer asks Kgosi to change the date on an invoice so that the customer can use its remaining annual budget.

The contract represents a significant share of the small business's expected revenue.

The customer suggests that refusing the request could affect future business.

Applying the Six-Step Process

Step 1: Define the problem

The ethical issue is whether Kgosi should provide an invoice containing information that does not accurately reflect the transaction.

Step 2: Identify alternatives

Possible alternatives include:

- Agreeing to change the date.
- Refusing the request.
- Exploring another legitimate way of structuring the transaction.

Step 3: Evaluate alternatives

Consider:

- Truthfulness.

- Legal implications.
- Effects on the customer.
- Effects on Kgosi's business.
- Long-term reputation.

Step 4: Make a decision

The decision should be based on ethical principles and the long-term consequences rather than short-term revenue alone.

Step 5: Implement

Communicate the decision professionally and clearly.

Step 6: Evaluate

Consider how the decision affects:

- Trust.
- Reputation.
- Future business relationships.
- Organisational standards.

33. KEY CONCEPTS TO REMEMBER

Concept	Meaning
Integrity	Honesty and reliability expressed through a commitment to doing what is right.
Ethics	Principles and standards concerning right and wrong.
Stakeholder	A person or group that affects or is affected by the business.
Economic responsibility	The responsibility to remain financially viable.
Legal responsibility	The responsibility to obey laws and regulations.
Ethical responsibility	The responsibility to avoid dishonest, unfair or questionable practices.
Discretionary responsibility	Voluntary contribution to society and communities.
Legitimacy lie	Creating a false impression to gain confidence or make a business appear more credible.
Code of ethics	Formal standards that guide employee behaviour.
Social entrepreneurship	Entrepreneurial activity that develops innovative solutions to social problems.
Sustainability	Efforts to protect and preserve the environment.
Triple Bottom Line	Considering People, Profit and Planet.

34. CHAPTER SUMMARY

The major lesson of this chapter is that **integrity and ethics are not separate from business success**.

They influence everyday decisions involving:

- Financial reporting.
- Customers.
- Employees.
- Suppliers.
- Government.
- Communities.
- The environment.

Small businesses may face strong pressure to focus on short-term profit and survival. However, unethical decisions can damage trust, relationships and reputation.

Businesses that operate with integrity can develop an important advantage through:

Integrity -> Trust -> Relationships -> Loyalty -> Reputation -> Long-term Sustainability

At the same time, responsible entrepreneurship goes beyond avoiding unethical behaviour. Entrepreneurs can identify social and environmental challenges and transform them into viable business opportunities.

The ultimate challenge for the entrepreneur is therefore to build a business that is not only **profitable**, but also **honest, responsible and sustainable**.

35. REVISION AND DISCUSSION QUESTIONS

Question 1
Define integrity and explain why it is important to the success of a small business.

Question 2
Distinguish between ethics and integrity.

Question 3
Identify the major stakeholders of a small business and explain the interests of each group.

Question 4
Explain the four responsibilities of a small business.

Question 5
What is a legitimacy lie, and why might a startup be tempted to use one?

Question 6
Explain how pressure, opportunity and justification can contribute to unethical behaviour.

Question 7
Discuss five benefits that a small business may gain by operating with integrity.

Question 8
Explain the role of the entrepreneur in creating an ethical organisational culture.

Question 9
Describe the six steps in the ethical decision-making process.

Question 10
What is social entrepreneurship?

Question 11
Explain the Triple Bottom Line using the concepts of **People, Profit and Planet**.

Question 12
Do environmental concerns create more costs or more opportunities for small businesses? Support your answer with examples.